

LICENCIATE EXAM MODULE

IC-14

(Regulation of Insurance Business)

Mock Tests

An Agency Sales Administration Initiative

2011

MOCK TEST 1

- 1 Life Insurance Council consists of all the members and associate members of the Association who carry on _____**
 - a) General Insurance Business in India.
 - b) Life Insurance Business outside India.
 - c) Life Insurance Business in India
 - d) General Insurance Business outside India
- 2 Apart from usual functions Executive Committee of Councils may advice Insurance Companies in**
 - a) Controlling of expenses
 - b) Regulate rates of insurance
 - c) Controlling man power deployment
 - d) Appointment of agents
 - e) a, b above.
- 3 Under section 64C of the Insurance Act, 1938 two councils of the Insurance Association of India are**
 - a) Life Insurance Council & General Insurance Council
 - b) International And National Insurance Council
 - c) Central Govt. and State Govt. Council
 - d) Insurer's and Insured's Council
- 4 The Duration of the Executive Committee of the Life and General Insurance Council shall be for _____ years from the date of its first meeting**
 - a) Four
 - b) Five
 - c) One
 - d) Three
- 5 General Insurance Council consists of all the members and associate members of the Association who carry on _____**
 - a) Life Insurance & General Insurance Business in India
 - b) Life Insurance Business outside India.
 - c) General Insurance Business outside India
 - d) General Insurance Business in India.
- 6 The Executive Committee of the Life Insurance Council shall consist of-**
 - a) 2 officials from IRDA including chairman
 - b) 8 representatives from Insurance Association of India carrying life Insurance business
 - c) 1 non official member nominated by IRDA
 - d) 5 persons nominated by IRDA connected with life insurance business
 - e) All of the above
- 7 The purpose of forming IRDA was –**
 - a) To protect the interest of policyholders and secure their fair treatment
 - b) To take action where such standards are inadequate or ineffectively enforced.
 - c) To, set, promote, monitor and enforce high standards of integrity, financial soundness, fair dealing and competence in the industry that it regulates.
 - d) To bring out optimum amount of self regulation in day to day working of the industry consistent with the requirements of prudential regulation
 - e) All of the Above
- 8 Insurance is an agreement by which one party called the _____ pays a stipulated consideration called _____ to the other party called the _____.**
 - a) Insured, insurer, premium
 - b) premium, Insured, insurer
 - c) Insured, premium, insurer
 - d) Insurer, premium, Insured
- 9 IRDA was formed by an act of Indian Parliament known as _____**
 - a) Insurance Act, 1999
 - b) IRDA Act, 1999
 - c) IRDA Act, 2000
 - d) None of the above
- 10 As per the insurance Act, all insurers carrying on insurance business in India constitute a body corporate by the name-**
 - a) Insurance Society of India
 - b) Insurance Association of India
 - c) India Insurance Association
 - d) Society of Insurance in India
- 11 The _____ may prescribe the circumstances, manners and conditions in which Executive committee of both the councils may hold joint meetings for the purpose of dealing with any matter of common interest to both committees.**
 - a) Insurance Council
 - b) Central Govt.
 - c) State Govt.
 - d) IRDA
 - e) Non above

- 12 In India _____ and _____ are direct legislations for smooth and orderly functioning of insurance business.
- The Insurance Act, 1938 and IRDA Act, 1999*
 - The Insurance Act, 1999 and IRDA Act, 1938*
 - The Insurance Act, 1939 and IRDA Act, 1998*
 - The Insurance Act, 1999 and IRDA Act, 1983*
- 13 The Insurance Act, 1938 which became effective from _____ primarily governs the conduct of insurance business in India.
- 1-Jul-40*
 - 1-Jul-38*
 - 1-Jul-99*
 - 1-Jul-39*
- 14 The Secretary of the Executive Committee of the Life and General Insurance Council shall in each case be an official nominated by _____
- LIC & GIC*
 - Central Govt*
 - IRDA*
 - Insurance Council*
- 15 Insurance is a tool in the- _____
- Management of Perils*
 - Management of risks*
 - Management of Hazard*
 - All of the Above*
- 16 No official member nominated by the IRDA shall be entitled whether as a chairman or as a member, to vote in respect of any matter coming up before any meeting of the executive committee of any council, as the case may be- _____
- False*
 - True*
- 17 The outgoing members of the Executive Committee of both the councils shall have the authority to discharge their duties until _____
- The new executive committee of the life insurance council have been created*
 - The new executive committee of the general insurance council have been created*
 - Both a & b*
 - Neither a nor b*
- 18 To aid, advise and assist insurers carrying on life insurance business in the matter of setting up standards of conduct and sound practice and in the matter of rendering efficient service to holders of life insurance policies is the function of – _____
- The executive committee of the life insurance council*
 - The executive committee of the general insurance council*
 - Both a & b*
 - Neither a nor b*
- 19 For the purpose of enabling it effectively to discharge its functions, the executive committee of the Life Insurance Council may collect such sums of money, whether by way of fees or otherwise, as may be prescribed from- _____
- All members of Insurance Association of India carrying life insurance business*
 - All associate members of Insurance Association of India carrying life insurance business*
 - Both a & b*
 - Neither a nor b*
- 20 Which Section lays down the duties, powers and functions of IRDA _____
- Section 15 of IRDA Act, 1999*
 - Section 16 of IRDA Act, 1999*
 - Section 14 of IRDA Act, 1999*
 - Section 13 of IRDA Act, 1999*
- 21 The authorities of the Life & General Insurance Council shall be the Executive Committees constituted in the manner provided in _____
- Section 64E of the Insurance Act 1938*
 - Section 64C of the Insurance Act 1938*
 - Section 64E of the Insurance Act 1939*
 - Section 64E of the Insurance Act 1999*
- 22 The Executive Committee of the General Insurance Council shall consist of- _____
- 2 officials from IRDA including chairman*
 - 8 representatives from Insurance Association of India carrying general Insurance business*
 - 1 non official member nominated by IRDA*
 - 5 persons nominated by IRDA connected with general insurance business*
 - All of the above*

- 23 There is a delicate _____ relationship between the insured and the insurer; therefore insurance is a highly regulated industry worldwide.
- Moral
 - Ethical
 - Financial
 - Sentimental
- 24 The Insurance Act, 1938 has been amended because of the recommendations given by the _____
- 189th Law Commission Report (2004)
 - 189th Law Commission Report (2003)
 - 190th Law Commission Report (2004)
 - 190th Law Commission Report (2003)
- 25 The Insurance Regulatory and Development Authority (IRDA) is a national agency of the Government of India, based in _____
- Hyderabad
 - Secunderabad
 - Bangalore
 - Chennai
- 26 KYC norms call for establishing insurable interest where –
- insurance premium is paid by the insured
 - insurance premium is paid by persons other than the insured
 - insurance claim is received by persons other than the insured
 - None of the above
- 27 Choose the right one.
- The Prevention of Money Laundering Act, 2004
 - The Prevention of Money Laundering Act, 2002
 - The Protection of Money Laundering Act, 2002
 - The Prevention of Money Laundering Act, 2003
- 28 AML programs should be reviewed _____
- Monthly
 - Annually
 - Quarterly
 - Bi-monthly
- 29 Remittance beyond a premium threshold of _____ per annum calls for detailed due diligence.
- Rs. 5 lakh
 - Rs. 1 lakh
 - Rs. 3 lakh
 - Rs. 10 lakh
- 30 Which products are exempt from AML guidelines
- Pure Health Insurance
 - Term Life Insurance
 - Reinsurance
 - Retrocession and Group Insurance contract
 - All of the Above
- 31 _____ is a part of creating a business friendly and stable financial system
- Fighting Money Laundering
 - Countering Financing of Terrorism
 - Both a & b
 - Neither a nor b
- 32 Life Insurers require that there is no contract with a customer whose identity matches with any person with –
- Criminal background
 - With banned entities
 - Those who have reported links with terrorists
 - Those who have reported links with Terrorist organization's
 - All above
- 33 The technique where small amount of deposits are made every day in various financial institutions, in such a way that it does not attract attention of legal/enforcement authorities is called
- Smacking
 - Struggling
 - Smurfing
 - Smuggling
- 34 KYC norms are to be applied in a –
- Risk based approach
 - Peril based approach
 - Hazard based approach
 - Calamity based approach
- 35 _____ has issued comprehensive guidelines on Fighting Money Laundering / Countering Financing of Terrorism in the insurance sector.
- IRDA
 - LIC
 - GIC
 - Insurance Council
- 36 India's Financial intelligence unit is a central agency to –
- Process reports of specified transactions
 - Analyse reports of specified transactions
 - Disseminate reports of specified transactions
 - Receive reports of specified transactions
 - All of the above

- 37 Life Insurers should not allow payments on insurance contracts to third parties except in cases like –
- Superannuation accumulations
 - Gratuity accumulations
 - Payment to legal heirs in case of death benefits
 - All of the above
- 38 AML guidelines stipulate that the AML policy/ program is required to be approved by the-
- Insurance Council
 - Executive Committee
 - Board
 - IRDA
- 39 When the launderer engages in conversions or movement of the funds to distance them from their source in a series of multiple and complex transactions, often including cross jurisdictions, it is known as _____
- Integration
 - Layering
 - Placement
 - None of the above
- 40 Customers risk profile can be categorized into-
- Medium risk
 - Moderate Risk
 - High risk
 - Low risk
 - High risk and low risk
- 41 Insurers are to appoint a senior level officer not below the rank of –
- Head (Audit/Compliance)
 - Chief Risk Officer
 - Both a & b
 - Neither a nor b
- 42 The process of Money Laundering can be classified into _____ stages
- Two
 - Three
 - One
 - four
- 43 Which contracts in insurance are not risky under the perspective of Fighting Money Laundering –
- Pure Health Insurance
 - Term Life Insurance
 - Reinsurance
 - Retrocession and Group Insurance contract
 - All of the Above
- 44 _____ is therefore laid on premium/proposal deposit remittances in the insurance sector.
- Rs. 5000/-
 - Rs. 2000/-
 - Rs. 50000/-
 - Rs. 25000/-
- 45 There are certain enabling features of an insurance contract like free look period, etc., which are cleverly misused by the launderers.
- False
 - True
- 46 Money Laundering process involves a series of complex transactions involving various financial institutions-
- True
 - False
- 47 Stages of Money Laundering are-
- Placement
 - Layering
 - Integration
 - All of the above
- 48 The highest vulnerable medium of transaction for money laundering is –
- Cheque
 - Demand draft
 - Money Order
 - Cash
- 49 _____ is the term used to describe the process of “turning dirty money into clean money”.
- Cleaning Money
 - Washing Money
 - Money Laundering
 - Money Cleaning
 - Non above
- 50 The class of people who fall under the category of high risk customers are –
- Non residents and High net worth individuals
 - Trusts, charities, NGO's and organization receiving donations
 - Companies having close family shareholding , firms with sleeping partners
 - Regulators and statutory bodies
 - A,B,C above

- 51 The class of people who fall under the category of low risk customers are –**
 a) Salaried Employees
 b) Government departments and Government owned Companies
 c) Regulators and statutory Bodies
 d) Trusts, charities and NGO's
 e) A,B,C above
- 52 FATF was established in _____ in the year 1989.**
 a) London
 b) Bombay
 c) Paris
 d) Washington
- 53 APG stands for-**
 a) Anti-Pollution Group on Money Laundering
 b) Anti-Pollution Group
 c) Asia-Pacific Group on Money Laundering
 d) Asia-Pacific Group
- 54 The stage in which the launderer actually utilizes the laundered money for the purposes for which it was actually laundered is called-**
 a) Layering stage of Money laundering
 b) Integration stage of Money laundering
 c) Placement stage of Money laundering
 d) All of the above
- 55 Choose the correct Abbreviation for CFT**
 a) Critical Financial Term
 b) Countering Financing of Terrorism
 c) Countering Funding of Terrorism
 d) Non of the above
- 56 Choose the correct Abbreviation for FATF**
 a) Financial Action Task Force
 b) Financial Analysis Task Force
 c) Future Action Task Force
 d) Non of the above
- 57 Choose the correct Abbreviation for NDPS**
 a) Narcotics Drugs & Psychotropic Substances
 b) Neurology Drugs & Physiology Substances
 c) Narcotics Drugs & Physiology Support
 d) Non of the above
- 58 Choose the correct Abbreviation for KYC**
 a) Know Your Company
 b) Know Your Customer
 c) Know Your Client
 d) Know Your Claim
- 59 Choose the correct Abbreviation for FIU-IND**
 a) Financial Information Unit India
 b) Financial Intelligence Unit Institute
 c) Financial Intelligence Unit India
 d) Non of the above
- 60 Records of transactions reported to FIU will have to be retained for _____ years beginning from the date of occurrence of transaction**
 a) 5
 b) 7
 c) 9
 d) 10
- 61 Which charge is levied for any alteration in the policy?**
 a) FMC
 b) Mortality
 c) Miscellaneous
 d) Surrender
 e) None
- 62 Mortality rates are _____ during the contract period in respect of product filed with the authority**
 a) Fixed
 b) Flexible
 c) Variable
 d) Guaranteed
- 63 Which charge is levied at the time of receipt of premium?**
 a) Fund Management Charge
 b) Switching charge
 c) Mortality charge
 d) Surrender charge
 e) Premium allocation charge
- 64 Computation of NAV is done on a _____ basis**
 a) Daily
 b) Weekly
 c) Monthly
 d) Yearly
- 65 The total investment of Unit Linked Policy in other than approved category of investment shall at no time exceed _____ percent of the fund**
 a) 10
 b) 15
 c) 25
 d) 35

- 66 Which charge is levied at the beginning of each policy month?
- Switching
 - Rider
 - Fund Management
 - Surrender
 - None of above
- 67 Initially the authority placed a cap of _____ percent on the policy administration charges
- 2
 - 3
 - 5
 - 4
- 68 For ULIP policy with term above 10 years net reduction in yield at maturity should not be more than _____
- 1%
 - 1.25%
 - 2.25%
 - 3.25%
- 69 For ULIP policy with term less than or equal to 10 years net reduction in yield at maturity should not be more than _____
- 1%
 - 3%
 - 2.25%
 - 3.25%
- 70 The (current)lock-in period for ULIP products are
- 3 years
 - 5 years
 - 7 years
 - 10 years
- 71 Which is true in respect of premium allocation charge?
- It is a percentage of premium appropriated from the premium's received
 - The percentage shall be explicitly stated
 - It may vary from year to year depending on premium size and type
 - This charge is levied at the time of receipt of premium
 - All above
- 72 Which of the guarantees are now prevalent in ULIP
- Value of policy fund will not fall below the premiums allocated
 - Guarantee to pay highest NAV during a specific period
 - Guaranteed rate of return on some of the funds
 - all the above.
- 73 Which charge is levied on the unit fund at the time of surrender of the contract?
- Switching
 - Surrender
 - Surrender & Discontinuance
 - Fund Management
- 74 FMC is also known as –
- Fund Management charge
 - Fund Managing charge
 - Fund Manager charge
 - Fund mixing charge
- 75 Premium under a policy is Rs.5000, premium allocation is 90% what would be the premium allocation charge?
- 50
 - 100
 - 250
 - 500
- 76 Partial withdrawals are allowed in ULIP policies after _____ years
- 3
 - 4
 - 5
 - 7
- 77 Maximum loan amount that can be sanctioned under any ULIP policy should not exceed _____ percent of surrender value in products where debt instrument accounts for more than 60 percent of the total share
- 20
 - 30
 - 40
 - 50
 - None of above
- 78 Maximum loan amount that can be sanctioned under any ULIP policy should not exceed _____ percent of surrender value in products where equity accounts for more than 60 percent of the total share
- 20
 - 30
 - 40
 - 50

- 79 Premium is Rs.5000, premium allocation charge is 10%, NAV – Rs.10, how many units will be purchased?
- 100
 - 150
 - 250
 - 450
- 80 To protect the features long term contract the minimum policy term in life insurance contract is fixed for _____ years
- 3
 - 4
 - 5
 - 6
 - 7
- 81 All ULIP pension / annuity products must offer a minimum guaranteed returns of _____ percent per annum as may be specified by IRDA
- 2.5
 - 3.5
 - 4.5
 - 5.5
- 82 Miscellaneous charge is levied by –
- Debiting premium
 - Collecting extra amount
 - Cancellation of units
 - None
- 83 IRDA regulation on treatment of discontinued linked insurance policies came into effect from
- Jun-10
 - Jul-10
 - Jun-09
 - Mar-08
- 84 _____ is the cost of Life Insurance cover
- Switching
 - Surrender
 - Mortality
 - Fund Management
- 85 Which is true in respect of policy administration charge?
- This charge cover's expenses other than premium allocation and fund management charges
 - This charge may be expressed as fixed amount or percentage of premium or percentage of sum assured
 - This charge is levied at beginning of each policy month, from the policy fund, by canceling units of equivalent amount
 - This charge can be flat or may vary
 - All above
- 86 The Insurers shall pay ____% p.a as rate of interest on discontinued policy fund
- 3%
 - 4%
 - 3.50%
 - 4.50%
- 87 The Insurer is also entitled to recover certain amount towards the discontinuance charges.
- The statement is True
 - The statement is False
- 88 Mandatory life insurance coverage is introduced to the top up premium paid over & above ____% of the total premium paid under a ULIP policy
- 25%
 - 30%
 - 35%
 - 10%
- 89 IRDA (Insurance Advertisement & disclosures) regulations came in
- 2000
 - 2001
 - 2002
 - 2004
- 90 IRDA (Actuarial Report & Abstract) regulations came in
- 2010
 - 2001
 - 2002
 - 2000
- 91 IRDA (Assets, Liabilities & solvency Margin) regulations came in
- 2010
 - 2000
 - 2002
 - 2004

- 92 IRDA (Protection policyholder's Interests) regulations came in**
 a) 2010
 b) 2002
 c) 2004
 d) 2008
- 93 IRDA (Treatment of Discontinued Linked Insurance Policies) regulations came in**
 a) 2010
 b) 2002
 c) 2004
 d) 2008
- 94 Minimum annual health cover for age at entry of below 45 years**
 a) 5 times the annualized premium or Rs 100,000
 b) 5 times the annualized premium or Rs 150,000
 c) 5 times the annualized premium or Rs 75,000
 d) Non of the above
- 95 Minimum annual health cover for age at entry of 45 years & above**
 a) 5 times the annualized premium or Rs 100,000
 b) 5 times the annualized premium or Rs 150,000
 c) 5 times the annualized premium or Rs 75,000
 d) Non of the above
- 96 In the case of Unit linked pension/Annuity products no partial withdrawal is allowed during the accumulation phase.**
 a) The statement is wrong
 b) The statement is right
- 97 The insured have an option to commute up to a maximum of ____ of the the accumulated value as lump sum at the time of vesting.**
 a) 2-Jan
 b) 3-Jan
 c) 4-Jan
 d) Non of the above
- 98 The rating of Unit linked funds by the independent rating agencies _____ be considered as a perfect yardstick**
 a) Should
 b) Must
 c) Can not
 d) Non of the above
- 99 All the charges other than premium allocation charge & cost of life insurance (Mortality) shall have an upper limit**
 a) The statement is wrong
 b) The statement is right
- 100 The govt came out with an Ordinance in _____ which gave the jurisdiction of regulating ULIP to IRDA**
 a) Jun-09
 b) Jun-10
 c) May-08
 d) Aug-10

MOCK TEST 2

- 1 Capital required for reinsurance broker is**
 - a) 50 lakh
 - b) 100 lakh
 - c) 200 lakh
 - d) 300 lakh
- 2 Capital required for Direct broker is**
 - a) 50 lakh
 - b) 100 lakh
 - c) 200 lakh
 - d) 300 lakh
- 3 Capital required for Composite broker is**
 - a) 50 lakh
 - b) 100 lakh
 - c) 200 lakh
 - d) 250 lakh
- 4 Who is authorized to issue license to intermediary**
 - a) For brokers – IRDA
 - b) For corporate agents – Designated persons in the insurance company
 - c) For agents – Designated persons in the insurance company
 - d) For surveyors – IRDA
 - e) All of above
- 5 Every insurance broker must be a member of**
 - a) Insurance Brokers Federation of India
 - b) Insurance Brokers of India
 - c) Insurance Brokers Association of India
 - d) Insurance Brokers Institute of India
- 6 Which statement is correct in respect of ceilings of business from agents and**
 - a) In case of a corporate agent business from one client should not exceed more than 50% of total premium procured in one year
 - b) There is no such provision for an individual agent
 - c) Agent cannot collect more than 25% of premium of his total portfolio from a single client
 - d) a, b above
- 7 IRDA act 1999 defines intermediary to include**
 - a) Brokers
 - b) Consultants
 - c) Surveyor & loss assessors
 - d) All above
- 8 What records must be maintained by insurance broker and submitted to IRDA**
 - a) Annual accounts every year
 - b) Half yearly un-audited financial statements containing details of performance, financial position
 - c) The statements shall include declaration confirming the fulfillment of requirements in accordance with provisions of regulation 10.
 - d) Any other documents that IRDA may specify
 - e) All above
- 9 Which of the following is not the function of an insurance broker?**
 - a) Placing business with insurer
 - b) Risk management
 - c) Consultancy and assisting in claims
 - d) Underwriting and issue of policy
 - e) Maintaining underwriting and claims record.
- 10 Every corporate agent/ insurance agent must be a member of**
 - a) Corporate Agent Association of India
 - b) Corporate Agent Federation of India
 - c) Insurance Agent Association of India
 - d) Insurance Agent Federation of India
 - e) None of the above – there is no such Association.
- 11 What are the provisions regarding training of intermediaries**
 - a) The principal officer of the broker firm must undergo 100 hours training and clear the exams conducted by NIA Pune.
 - b) Agents must complete 50 hours of practical training
 - c) Corporate agent must complete 50 hours of agents training
 - d) Exams for agents are conducted by NIA Pune.
 - e) a, b, c Above.
- 12 The license issued to agent, corporate agent, brokers is valid upto _____ years**
 - a) 1
 - b) 2
 - c) 3
 - d) 4
- 13 Which intermediary is required to maintain insurance bank account (regulation 23)**
 - a) Agent
 - b) Broker
 - c) Corporate agent
 - d) Reinsurance / Composite brokers

- 14 Which statement is incorrect**
- Direct brokers can work for any number of life or general insurers*
 - Corporate agent can work for one life and one non-life insurer.*
 - Insurance agents can work for one life and one non-life insurer*
 - Insurance agent and corporate agent may opt for selecting two life companies instead of one life and one general*
 - Re-insurance brokers can work for any number of insurers*
- 15 A broker is required to maintain _____ percent of its initial capital in fixed deposit in the bank**
- 10*
 - 20*
 - 30*
 - 40*
- 16 Which is incorrect in respect of composite intermediary?**
- A composite broker may act for any number of life and general insurers*
 - A composite corporate agent may act for one life insurer and one non-life insurer*
 - A composite insurance agent may work for one life and one non-life insurer.*
 - A composite surveyor may work for all insurance companies*
- 17 Which intermediary is required to take professional indemnity insurance as per regulation?**
- Agent*
 - Corporate agent*
 - Broker*
 - Surveyor*
- 18 What is the ceiling on business from single client is prescribed for brokers.**
- 1st years not more than 50% from one client*
 - 2nd year not more than 40% from one client*
 - 3rd year and onwards not more than 30% from one client*
 - All above*
- 19 A Corporate Agent license can be issued to**
- Regional Rural Bank*
 - Ngo/Micro finance*
 - NBFC registered with RBI*
 - Cooperative Societies*
 - All above*
- 20 Capital required for agent and corporate agent is**
- 1 lakh*
 - 5 lakh*
 - 10 lakh*
 - 15 lakh*
 - None of above*
- 21 Which statement is incorrect in respect of remuneration payable to intermediaries?**
- Broker cannot be paid remuneration exceeding commission as prescribed under regulation 19.*
 - Corporate agents are paid commission as per provision section 40A of the Act*
 - Agents are paid commission as per provision section 40 of the Act.*
 - Insurers can pay overriding commission as per agreement with the agent and broker*
- 22 The disqualification for agents and corporate agents are specified under section ____ of insurance act**
- 40*
 - 42*
 - 43*
 - 44*
- 23 Which of the statements relating to qualification of an intermediary is incorrect?**
- The principal officer of the broker firm must possess minimum qualification and must have passed insurance brokers examination.*
 - The corporate insurance executives of the corporate agent must undergo practical training as prescribed.*
 - The agent must undergo the practical training and pass the exam, as prescribed by IRDA*
 - In case of corporate agent every person soliciting the insurance business must clear the IRDA exam.*
- 24 Which statement is incorrect in respect of renewal of license**
- The renewal of broker licensed shall be treated as a fresh application.*
 - The renewal license fees for brokers is Rs.1000*
 - The renewal license fees for agent and corporate agent is Rs.250*
 - In case of loss of license a duplicate may be issued on payment of Rs.1000 by brokers and Rs.250 by agents / corporate agents*
 - No duplicate license can be issued.*

- 25 A license for becoming an individual agent may be granted to person**
- Minimum qualification required is pass marks in 12th Standard*
 - If the application resides in a place with a population of 5000 and more a pass certificate in 10th standard is required*
 - He must undergo specified training*
 - He must be of sound mind*
 - All above*
- 26 The disqualification for brokers is specified under sub-section _____ of section _____ of the insurance act.**
- 5, 43D*
 - 5, 42D*
 - 10, 43D*
 - 10, 42D*
- 27 As per regulation _____ IRDA shall issue the license to broker**
- 10*
 - 11*
 - 12*
 - 13*
- 28 Which of the following intermediaries pay the annual fee?**
- Broker*
 - Surveyor*
 - Corporate agent*
 - Agent*
- 29 Which statement is correct in respect of code of conduct**
- Every broker shall abide by code of conduct of regulation 21 as specified in Schedule 3.*
 - Every corporate agent shall abide by code of conduct as specified in regulation 9*
 - Every agent shall abide by code of conduct as specified in regulation 8*
 - All the above*
- 30 Intermediaries should take into account the _____ of a prospect before recommending a particular insurance policy or product**
- Feedback*
 - Want*
 - Need*
 - Requirement*
 - Purpose*
- 31 An agent is required to maintain _____ as fixed deposit**
- 1 lakh*
 - 2 lakh*
 - 3 lakh*
 - 4 lakh*
 - Nil*
- 32 There are certain categories of insurance for which the relaxation of section 64 VB (1) is applicable.**
- True*
 - False*
- 33 In case of a policy of general insurance where the remittance made by the proposer or the policyholder is not realized by the insurer, the policy shall be treated as-**
- Voidable*
 - Void*
 - Illegal*
 - Void ab initio*
- 34 Non-payment of premium treats general insurance policy as void ab initio ,**
- As if no policy existed*
 - As if policy exists*
 - Either a or b*
 - Neither a nor b*
- 35 When the premium is tendered by postal money order or cheque sent by post, the risk may be assumed –**
- On the date on which money order is booked*
 - On the date on which cheque is posted*
 - On the date on which money order is received*
 - On the date on which cheque is received*
 - A and b above*
- 36 What is the court's decision in case of payment of compensation by the insurer in case of non receipt of premium-**
- First pay the third party and then recover it from the proposer*
 - First recover it from the proposer and then pay the third party*
 - Only pay the Third party*
 - Only recover it from the proposer*
- 37 Which of the following methods is allowed to a policyholder to pay his premium-**
- Cash/Any recognized bank negotiable instrument*
 - Credit/Debit cards of his name*
 - Internet/E-transfer*
 - Direct credit via standing instructions to bank*
 - Any other method that may be approved by the authority*
 - All of above*

- 38 **Non-payment of premium treats general insurance policy as void ab initio. There is a Act which overrides this regulation and that Act is-**
- Motor Act*
 - Automobiles Act*
 - Motor Third Party Insurance Act*
 - Motor Vehicles Act*
- 39 **The extent and manner of relaxation of section 64 VB (1), applicable to certain categories of insurance are mentioned in details in –**
- Rule 59 of Insurance Rules*
 - Rule 58 of Insurance Rules*
 - Rule 57 of Insurance Rules*
 - Rule 56 of Insurance Rules*
- 40 **Under the MV Act the insurers do not have ‘non-receipt of premium or non-realization of Cheque ‘as a defense against payment of compensation to the third party.**
- True*
 - False*
- 41 **Which regulation specifies the manner in which premium can be paid by an insured to an insurer?**
- IRDA (Manner of payment of Premium) Regulations*
 - IRDA (Law to Pay Premium) Regulations*
 - IRDA (Manner of Receipt Premium) Regulations*
 - IRDA (Law to Pay Premium) Regulations*
- 42 **No insurer shall assume any risk in India in respect of any insurance business**
- On which premium is not ordinarily payable outside India*
 - Unless and until the premium payable is received by him*
 - Until deposit of such amount as may be prescribed is made in advance in the prescribed manner*
 - All above*
- 43 **The certain categories of insurance for which the relaxation of section 64 VB (1) is applicable are-**
- Declaration policies*
 - Annual Insurance related to aircraft and marine hulls*
 - Short period covers related to aircraft and marine hulls*
 - Policies issued for more than one year*
 - All above*
- 44 **The certain categories of insurance for which the relaxation of section 64 VB (1) is applicable are-**
- Reinsurance policies*
 - Marine covers excluding Hulls*
 - Schedule and consequential loss policies*
 - All above*
- 45 **Section _____ of the Insurance Act which specifies that no risk is to be assumed unless premium is received in advance.**
- 64BB*
 - 64VC*
 - 64VV*
 - 64VB*
- 46 **The certain categories of insurance for which the relaxation of section 64 VB (1) is applicable are-**
- Policies issued to government and semi government bodies*
 - Policies issued under sickness Insurance, GPA, medical benefit insurance etc*
 - Policies where exact premium cannot be computed without reference to regional or head office*
 - Fidelity guarantee insurance*
 - All above*
- 47 **The regulation that states the requirement of a rating by a recognized credit agency is –**
- Regulation 3(7) of IRDA (General Insurance-Reinsurance) Regulations 2000.*
 - Regulation 3(6) of IRDA (General Insurance-Reinsurance) Regulations 2000.*
 - Regulation 3(5) of IRDA (General Insurance-Reinsurance) Regulations 2000.*
 - Regulation 3(8) of IRDA (General Insurance-Reinsurance) Regulations 2000.*
- 48 **The Indian Re-insurer shall proceed at least _____% of the obligatory Cession received by it to the ceding insurers after protecting the portfolio by suitable excess of loss covers**
- 25*
 - 40*
 - 50*
 - 60*
- 49 **Every insurer’s have mentioned the maximum possible retention commensurate with its _____ strength and _____ of business**
- Financial, Volume*
 - Financial, area*
 - Financial, jurisdiction*
 - Internal volume*

- 50 Insured may place re-insurer's business with the prior approval of the –
 a) Actuary
 b) Authority
 c) CFO
 d) TAC
- 51 The reinsurance regulation for life insurance business in India is –
 a) IRDA (Life Insurance Reinsurance Regulations) 1999
 b) IRDA (Life Insurance Reinsurance Regulations) 2001
 c) IRDA (Life Insurance Reinsurance Regulations) 1998
 d) IRDA (Life Insurance Reinsurance Regulations) 2000
- 52 The type of reinsurance contract used in life and non life insurance
 a) Same
 b) Different
 c) May be different
 d) Totally different
- 53 The National Re-insurer of India is-
 a) IRDA Re
 b) Insurance Re
 c) GIC Re
 d) LIC Re
- 54 Within _____ days of the commencement of the financial year, every general insurer shall file with the authority a photocopy of every re-insurance treaty slip.
 a) 15
 b) 30
 c) 45
 d) 60
- 55 In selecting the reinsurers to whom the risk is offered, the broker shall be mindful of the need to use only such reinsurers who are rate _____ by a recognized credit agency.
 a) CCC or Higher
 b) BBB or higher
 c) AAA or Higher
 d) DDD or Higher
- 56 The mandate for provisioning for IBNR Claims are _____
 a) not available for general insurance but necessary for life insurance
 b) not available for life insurance but necessary for general insurance
 c) Not available for both
 d) Available for Both
- 57 Statutory cession to GIC are compulsory in
 a) Life Insurance
 b) General Insurance
 c) Both
 d) None of above
- 58 What is the time limit for filing of re-insurance program with IRDA?
 a) 30 days before the commencement of the financial year
 b) 45 days before the commencement of the financial year
 c) 60 days before the commencement of the financial year
 d) 75 days before the commencement of the financial year
- 59 As per Life Insurance Re-insurance regulation; all Life insurer's must –
 a) Draw program of re-insurance in respect of lives covered by him
 b) The insurer must file the copy of re-insurance program duly certified by appointed actuary with IRDA at least 45 days before the commencement of each financial year.
 c) Insurer must try to maximize the retention within the country
 d) All above
- 60 As per Life Insurance Re-insurance regulation; all Life insurer's must –
 a) The re-insurer chosen by insurer must enjoy a credit rating of minimum BBB of standard and poor or any other equivalent agency
 b) Insurer cannot enter into re-insurance arrangement with promoter company
 c) No program of re-insurance shall be on original premium basis
 d) All above
- 61 The reinsurance regulation for general insurance business in India is –
 a) IRDA (General Insurance Reinsurance Regulations) 2000
 b) IRDA (General Insurance Reinsurance Regulations) 1999
 c) IRDA (General Insurance Reinsurance Regulations) 2001
 d) IRDA (General Insurance Reinsurance Regulations) 1998
- 62 Until GIC Re was notified as national reinsurer, it was operating as a holding/parent company _____ controlling their reinsurance programs-
 a) National Insurance Co. Ltd. And United India Insurance Co. Ltd
 b) The New India Assurance Co. Ltd. And Oriental Insurance Company Ltd.
 c) Both a & b
 d) Only b

- 63 Every insurers shall offer _____ to other Indian insurers including Indian Re-insurer to participate in its facultative and treaty surpluses before placement outside India
- request
 - an Opportunity
 - Chance
 - none of above
- 64 GIC would receive _____ obligatory cession of each policy written in India-
- 20%
 - 25%
 - 10%
 - 15%
- 65 There are _____ more re-insurer's other than GIC in the Indian market-
- One
 - Two
 - Three
 - No
- 66 Insurer's in India shall place re-insurance only with re-insurer's who enjoy the rating of BBB or equivalent rating over a period of _____ years
- 2
 - 3
 - 4
 - 5
- 67 The re-insurance programme of every insurer shall commence from the beginning of _____ financial year
- 30
 - 45
 - 60
 - 75
- 68 The fundamental objectives of reinsurance are –
- Maximize retention within the country
 - Develop adequate capacity
 - Secure the best possible protection for the re-insurance costs incurred
 - Simplify the administration of business
 - All above
- 69 Insurance companies may cede more than 10% of the re-insurance business to as single re-insurer with a specific approval from the
- Appointed actuary
 - Chief Financial Officer
 - Authority
 - GIC Re
- 70 GIC also manages the _____
- Tsunami Pool
 - Hurricane Pool
 - Terrorism Pool
 - Earthquake Pool
- 71 The retrocession by Indian re-insurer to Indian insurer's shall be at original terms plus an overriding commission to the Indian Re-insurer not exceeding _____%
- 1
 - 1.5
 - 2
 - 2.5
- 72 The placement of re-insurance in Indian market is governed by the _____
- IRDA Regulations for both life and general business
 - International Regulations for both life and general business
 - IRDA Reinsurance Regulations for both life and general business
 - All of above
- 73 The arrangements made for domestic pools must be submitted to authority within a period of _____ months of regulations coming into force
- 3
 - 6
 - 9
 - 12
- 74 Surplus over and above domestic re-insurance arrangements, can be placed by the insurer with any international re-insurer complying with sub-regulation '7' subject to a limit of _____ of the total re-insurance premium ceded with re-insurer
- 5%
 - 10%
 - 20%
 - 30%
- 75 IBNR stands for
- Incurred but not Reported
 - Incurred but not Resulted
 - Incurred before new Report
 - Non of the above
- 76 Document issued by the insurer or on its behalf to the prospective buyers of insurance and includes a brochure or leaflet serving the purpose is called-
- Material
 - Prospectus
 - Cover
 - Proposal Form

- 77 LIC has established _____ councils in 109 divisional centers.
- Policy councils
 - Policy holder councils
 - Claims councils
 - Claimant councils
- 78 When a proposal form is not used the insurer shall record the information obtained orally or in writing, and confirm it within a period of _____ thereof with the proposer and incorporate it in the policy document.
- 1 month
 - 3 months
 - 15 days
 - 6 months
- 79 _____ shall mean and include all important, essential and relevant information in the context of underwriting the risk to be covered by the insurer.
- Proposal Form
 - Prospectus
 - Material
 - Cover
- 80 The central Government has framed rules known as _____ and created an authority called Insurance Ombudsman to resolve all complaints relating to settlement of claim on the part of insurance companies.
- Redressal of Public Grievances Rules 1999
 - Redressal of Public Grievances Rules 1997
 - Redressal of Public Grievances Rules 1998
 - Redressal of Public Grievances Rules 2000
- 81 The risk coverage in an insurance policy commences –
- After acceptance of proposal by the insurer
 - After acceptance of proposal by the insured
 - Before acceptance of proposal by the insurer
 - None of the above
- 82 Within how much hours the insurer must appoint a surveyor
- 24 hours
 - 36 hours
 - 40 hours
 - 54 hours
 - 72 hours
- 83 The IRDA (Protection of Policyholders' Interests) Regulations, 2002 prescribe-
- Duties and obligations of insurers, pre & post sales
 - Duties and obligations of intermediaries, pre & post sales
 - Both a & b
 - Neither a nor b
- 84 Within how much days surveyor must submit its report to the insurer
- 15 days
 - 30 days
 - 45 days
 - 60 days
 - 75 days
- 85 Within how much days receipt of original survey report insurer may ask the surveyor to submit an additional report in certain specific issues.
- 15 days
 - 30 days
 - 45 days
 - 60 days
 - 75 days
- 86 There should be utmost transparency at the time of sale and promotion so that the policyholder is made to feel confident that he or she is being given complete information regarding the product.
- False
 - True
- 87 Redressal of public grievance rules, 1998 created an authority called:-
- Consumer forum
 - IRDA grievance cell
 - Insurance ombudsman
 - Ombudsman
- 88 LIC has adopted a _____ charter through which it reiterates its commitment to the customers
- Consumer
 - Customer
 - Citizens
 - Policyholders
- 89 In how many days on insurer shall response to the query of insured in respect of policy holders servicing:-
- 5 days
 - 10 days
 - 15 days
 - 30 days

- 90 Within how much days insurer must settle the claim or reject the claim from the date of final/additional report received from the surveyor
- 15 days
 - 30 days
 - 45 days
 - 60 days
- 91 Insurance Contract whether in form of a policy or a cover note or a certificate of insurance or any other form prevalent in the insurance industry to evidence the existence of insurance contract is called-
- Material
 - Cover
 - Proposal Form
 - Prospectus
- 92 While forwarding the life insurance policy, the insurer shall inform the insured by the letter forwarding the policy that he has a free look period
- True
 - False
- 93 A life Insurance policy must state :-
- Name of plan, terms, conditions
 - Whether participating in profits or not
 - Bonus payable under the policy
 - Benefits payable under the policy
 - All above
- 94 In unit linked insurance plans , any increase or decrease in the net asset value of the plan during the free look period is passed on to the _____
- Broker
 - Customer
 - Agent
 - Intermediary
- 95 What of the following are designated as grievance redressal officers at LIC
- Branch level – Branch Manager
 - Divisional Level – Divisional Manager
 - Zonal Manager – Regional Manager
 - Central Level – ED CRM/Chief CRM
 - All above
- 96 If a person cancels an insurance policy during the free look period , the insurance company refunds the premium paid after the following deductions-
- Cost of pertaining to medical tests; if any
 - Stamp Duty
 - Both the above
 - Non of the above
- 97 Every life insurer is required to give notice to its policyholder _____ from the date on which the last premium was payable but not paid
- before expiry of 1 month
 - before expiry of 3 months
 - before expiry of 2 months
 - after expiry of 3 months
- 98 In all cases, except in _____ a proposal for grant of cover, either for life insurance business or for general business must be evidenced by a written document.
- Mortgage Insurance
 - Misc. Insurance
 - Marine Insurance
 - Motor Insurance
- 99 The grievance redressal officers in LIC are available at _____ except on holidays without prior appointment.
- 10-5pm
 - 1.30-2.30pm
 - 2.30-4.30 pm
 - 2.30-4.00pm
 - 2.30-5.00pm
- 100 Within how much time the surveyor must submit its additional report to the insurer
- 15 days
 - 1 week
 - 2 weeks
 - 3 weeks

MOCK TEST 3

- 1 In case of delay in payment of general insurance claim what interest must be paid by insurer above the prevalent bank rate**
 - a) 1%
 - b) 2%
 - c) 3%
 - d) 4%
 - e) 5%
- 2 To avail the free look period the customers must return the policy to:-**
 - a) Customer Service Department
 - b) Local Branch
 - c) Head office
 - d) Regional Office
 - e) A or B
- 3 It is the duty of the insurer to-**
 - a) Ensure that the content of the policy documents are easy to understand and the language of the same is simple
 - b) See that it should be easy to read and most of all be attractive for the consumer to pursue
 - c) It would clearly bring out the risks involved for the policyholder and the obligations or commitments required of him/her
 - d) All the above
- 4 Proposals shall be processed by the insurer with speed and efficiency and all decisions thereof shall be communicated by it in writing within a reasonable period _____.**
 - a) Not exceeding 1 month from receipt of proposals by the insurer
 - b) Exceeding 15 days from receipt of proposals by the insurer
 - c) Exceeding 1 month from receipt of proposals by the insurer
 - d) Not exceeding 15 days from receipt of proposals by the insurer
- 5 LIC has established _____ Committee at central office with eminent consumer activist's along with chairman and Managing Directors of the corporation to look into consumer affairs**
 - a) Claims Concession
 - b) Consumer affairs
 - c) Consumer
 - d) Customer Friendly
 - e) None above
- 6 Every Insurer carrying on life Insurance Business is required to give notice to the holders before expiry of _____ months:-**
 - a) 1
 - b) 2
 - c) 3
 - d) 4
- 7 The _____ option of a life insurance plan allows the customer to cancel the policy after purchasing it if he disagrees with or is not comfortable with its terms and conditions within 15 days of the receipt of the policy.**
 - a) Look Period
 - b) Free look period
 - c) Free Period
 - d) Trial Period
- 8 Longer a policy stays in the books of an insurer; _____ is the level of profit that will be generated for the insurer.**
 - a) Smaller
 - b) Thinner
 - c) Larger
 - d) All of the above
- 9 In accident benefit and personal accident benefit under micro insurance the minimum amount of cover is**
 - a) 5000
 - b) 10000
 - c) 15000
 - d) 20000
- 10 In micro health insurance plans in non-life insurance the maximum term of cover is —**
 - a) 1 year
 - b) 2 years
 - c) 3 years
 - d) 4 years
- 11 What is the maximum amount of Term insurance cover allowed in micro insurance**
 - a) 20,000
 - b) 30,000
 - c) 50,000
 - d) 1,00,000

- 12 What is the minimum amount of Term insurance cover allowed in micro insurance**
 a) 20,000
 b) 30,000
 c) 50,000
 d) 5,000
- 13 In life micro-insurance plans the term of minimum cover is _____ and term of maximum**
 a) 5, 20
 b) 5, 18
 c) 5, 15
 d) 10, 20
- 14 In micro insurance who has the authority to settle the claims**
 a) Life claim by life insurer
 b) Non life claim by non life insurer
 c) Any insurer
 d) Agent on behalf of the insurer
 e) a, b above
- 15 Micro insurance regulations were issued in the year**
 a) 2000
 b) 2005
 c) 2010
 d) 2004
- 16 Who can become a micro insurance agent as per IRDA REGULATIONS?**
 a) Non-Governmental Organisations (NGO)
 b) Self help groups (SHG)
 c) Microfinance institutions (MFI)
 d) Micro Insurance institutions
 e) a, b, c Above
- 17 Conventional insurance, agents and brokers are not allowed to sell insurance**
 a) Statement is correct
 b) Statement is incorrect
- 18 What is the minimum amount of cover that may be provided in micro insurance?**
 a) 2000
 b) 5000
 c) 10000
 d) 15000
- 19 Which is true in case of micro-insurance agents?**
 a) A micro insurance agent shall not distribute any other product other than a micro insurance product
 b) Insurers must execute a deed of agreement with the micro insurance agents
 c) A micro insurance agent can act for one life and one non-life insurer
 d) Micro insurance agent shall employ specified persons with prior approval of insurer
 e) All above
- 20 In life micro insurance plans the minimum age at entry is _____ and the maximum age at entry is _____**
 a) 15, 45
 b) 18, 60
 c) 20, 70
 d) 18, 58
- 21 Under micro health insurance individual plans the minimum amount of cover is _____ and maximum cover is _____**
 a) 5000, 30,000
 b) 5000, 50,000
 c) 5000, 40,000
 d) 10,000, 30,000
- 22 Under micro health insurance family plans the minimum amount of cover is _____ and maximum cover is _____**
 a) 5000, 30,000
 b) 5000, 50,000
 c) 5000, 40,000
 d) 10,000, 30,000
- 23 For general insurance business in micro insurance, the commission is allowed upto**
 a) 10%
 b) 15%
 c) 20%
 d) 25%
- 24 For Life insurance single premium policies in micro insurance, the commission is allowed upto**
 a) 10%
 b) 15%
 c) 20%
 d) 25%

- 25 For Life insurance Non single premium policies in micro insurance, the commission is allowed upto**
- 10%
 - 15%
 - 20%
 - 25%
- 26 Every insurer shall issue micro insurance policy in _____ language which is simply and easily understandable**
- Local
 - Regional
 - Vernacular
 - Hindi
- 27 Micro insurance products need**
- Prior approval of IRDA launches a micro insurance product
 - Get the approval under file and use procedure
 - Every product must carry the caption "Micro Insurance Product"
 - All above
- 28 Insurers shall impart at least ____ hours of training at their expenses to all micro insurance agents & their specified persons.**
- 15
 - 25
 - 75
 - 50
- 29 The regulation in micro insurance provides for a tie-up between**
- Agent and insurer
 - Insurer and policy holder
 - Policy holder and agent
 - Life insurer and general insurer
- 30 A micro insurance Agent shall not distribute any product other than a micro insurance product**
- Statement is right
 - Statement is wrong
- 31 In case of policy taken by an insurance agent on his own life the commission earned would be termed as**
- Rebate
 - No Rebate
 - Partial rebate
 - None of above
- 32 In order to have a valid assignment**
- Assignor should be the holder of the policy
 - The assignor may not be the life insured under the policy
 - Assignor should be the life insured under the policy
 - Assignee must be the holder of the policy
 - a, b Above
- 33 A nomination cannot be registered in favor of a minor**
- Statement is correct
 - Statement is incorrect
- 34 The time for depositing the money by the agent should**
- Include bank and postal holidays
 - Exclude bank and postal holidays
 - Holidays doesn't matter
 - None of above
- 35 Assignments for natural love and affection between parties standing in _____ is valid**
- Near relation to each other
 - Distance relation to each other
 - Far relation to each other
 - Clear relation to each other
- 36 Which section dealt with payment of insurance premium in advance**
- 64BB
 - 64 BC
 - 64VB
 - 64 BV
- 37 No policy can be called in question on ground of misstatement after _____**
- 1 year
 - 2 years
 - 3 year
 - 4 year
- 38 Nomination is an _____, the insurance law created, to secure an immediate payment of the policy moneys by the insurer, without prejudice to the decision on the question as to who are entitled to succeeds the estate of the deceased life assured.**
- Instrument
 - Document
 - Agreement
 - Facility

- 39 Where an insurance agent collect premium from the policy holder he must deposit the premium so collected within _____**
- 6 hours
 - 12 hours
 - 24 hours
 - 48 hours
- 40 When is nomination complete?**
- When it is recorded on the policy document or endorsement
 - Notice is given to insurer
 - Insurer makes an entry in their record
 - All above
- 41 Which section of Insurance Act specifies rules where policy cannot be called in questions after two years.**
- Section 40
 - Section 41
 - Section 42
 - Section 43
 - Section 45
- 42 The provisions for nomination under the policy is contained in section**
- 36
 - 37
 - 38
 - 39
 - 40
- 43 To remove the anomaly in Section 38 of Insurance Act, final recommendation has been made by**
- IRDA
 - Controller of Insurance
 - TAC
 - Law ministry
 - Law Commission
- 44 To avoid liability under a policy of the life insurance two years after the policy was affected the life insurance company will have to prove**
- That there was suppression of facts by the life assured.
 - That what was suppressed was a material fact.
 - That such suppression was done intentionally with a view to defraud the insurance company.
 - All above.
- 45 Which is correct in respect of a nomination?**
- Even after nomination policy holder can deal with the policy any way he likes
 - He can change the nominee anytime
 - Nomination is automatically cancelled by further nomination or endorsement, by assignment or by a will.
 - Nomination should generally be in favour of near & dear ones. Otherwise it may arouse suspicion
 - All above
- 46 An insurer can call for _____ at any time during the currency of the policy**
- Proof of residence
 - Proof of age
 - Proof of insurance
 - Proof of proposal
- 47 The provisions of transfer of policy of life insurance is contained in**
- Section 38, Insurance Act 1938
 - Section 39, Insurance Act 1938
 - Transfer of property Act 1882
 - Transfer of property Act 1892
- 48 The assignor of the policy should not be a**
- Major
 - Minor
 - Convict
 - None of above
- 49 In a joint life policy, normally there is no need for nomination because, in case of death of one life, policy moneys become payable to the surviving life**
- Statement is correct
 - Statement is incorrect
- 50 Assignment of a policy can be made to**
- Only one person
 - More than one person
 - Only to relatives
 - Only to friends
- 51 An assignment may be _____ and _____**
- Complete, Conditional
 - Absolute, conditional
 - Temporary, Conditional
 - Absolute, Compulsory

- 52 A transfer or assignment of a policy can be made**
- With or without consideration*
 - By an endorsement on the policy or by a separate instrument*
 - Must be signed by transferor or his agent*
 - Must be attested by a witness*
 - All above*
- 53 Assignments can be made by**
- Endorsement on the back of the policy*
 - Separate stamp deed*
 - On a plain paper*
 - a, b, Above*
- 54 When a transfer or assignment is made in favor of insurer, the assignment shall not be complete unless**
- Notice is given to insurer by email*
 - Notice is given to insurer in writing*
 - A copy of said endorsement or deed*
 - b & c above*
- 55 When a nomination is cancelled**
- On assignment of a policy is automatically cancelled*
 - If the policy matures during the life time of policy holder*
 - If the nominee dies before maturity of the policy*
 - All above*
- 56 When can the nomination will be cancelled**
- Anytime before maturity*
 - By endorsement*
 - By will*
 - A written notice must be given to the insurer*
 - All above*
- 57 A conditional assignment shall be valid only if the specified events happen**
- During the life time of assignee*
 - During the life time of beneficiary*
 - During the life time of life assured*
 - During the life time of policy*
- 58 Are policy holder allowed to further assign the policies which has already been partly assigned earlier**
- Not allowed*
 - Allowed*
- 59 When the nomination gets cancelled the claim amount is paid to**
- Legal heirs*
 - Legal representatives*
 - Holder of succession certificate*
 - All above*
- 60 The onus of proof of misstatement lies on**
- Insurer*
 - Insured*
 - Agent*
 - Medical Referee*
- 61 _____ is defined as any person who buys goods for consideration or avails any services for consideration**
- Custodian*
 - Customer*
 - Consumer*
 - User*
 - Purchaser*
- 62 What is the time limit for filing complaint with GRA**
- Within a period of 60 days from the date of receipt of decision of in-house mechanism of insurer*
 - Expiry of 60 days after making the claim whichever is later*
 - All of above*
- 63 The National Commission has the power to deal with the cases where the value of services and compensation claim exceed**
- above 50 lakhs*
 - above 75 lakhs*
 - above 1 crore*
 - above 2 crores*
- 64 IAT shall hear appeal against orders passed by**
- IRDA*
 - Investigating officers of IRDA*
 - GRA*
 - All above*
- 65 When a person against whom a complain is made or the complainant fails to comply with the order of state, district, national commission, the punishment would be**
- Imprisonment for minimum 1 month to maximum 3 years*
 - Fine minimum 2000 to maximum 10000*
 - Both a, b*

- 66 Can One appeal against district forum can be directly made to national commission**
 a) *Statement is correct*
 b) *Statement is incorrect*
- 67 Deficiency in service may relate to**
 a) *Issuance of receipt*
 b) *Transfers of files*
 c) *Delay in settlement of claims*
 d) *Rejection of claims*
 e) *All above*
- 68 The names of proposed technical members of IAT shall be sent by**
 a) *IRDA*
 b) *Insurance Council*
 c) *Ombudsman*
 d) *GRA*
- 69 Ombudsman will not entertain complaints above**
 a) *10 lakhs*
 b) *20 lakhs*
 c) *30 lakhs*
 d) *40 lakhs*
- 70 For filing appeal against district forum, the appellant must deposit 50% of the amount awarded or _____ whichever is less**
 a) *25000*
 b) *35000*
 c) *50000*
 d) *75000*
- 71 For filing appeal against state commission forum, the appellant must deposit 50% of the amount awarded or _____ whichever is less**
 a) *25000*
 b) *35000*
 c) *50000*
 d) *75000*
- 72 For filing appeal against National commission forum, the appellant must deposit 50% of the amount awarded or _____ whichever is less**
 a) *25000*
 b) *35000*
 c) *50000*
 d) *75000*
- 73 In order to make a claim before GRA no claim must be pending in**
 a) *Civil court*
 b) *High court*
 c) *Supreme Court*
 d) *Any legal forum*
- 74 Grievance redressal authorities shall have no jurisdiction in cases related to**
 a) *Third party motor vehicle*
 b) *Marine insurance*
 c) *Fire insurance*
 d) *a, b above*
- 75 The appointment of technical members to IAT shall be made in consultation with Chief justice of**
 a) *High Court*
 b) *Supreme Court*
- 76 For filing appeal against National Commission the appellant must deposit _____% of the amount awarded or Rs 50000 whichever is less**
 a) *30*
 b) *40*
 c) *50*
 d) *75*
- 77 For filing appeal against State Commission the appellant must deposit _____% of the amount awarded or Rs 35000 whichever is less**
 a) *30*
 b) *40*
 c) *50*
 d) *75*
- 78 For filing appeal against Dist Forum the appellant must deposit _____% of the amount awarded or Rs 25000 whichever is less**
 a) *30*
 b) *40*
 c) *50*
 d) *75*
- 79 Can insurance company prefer an appeal against the order of ombudsman in other court of law**
 a) *The award by ombudsman is final, they can not appeal*
 b) *They can appeal in higher courts of law*

- 80 The president and members of IAT will hold office till the age of _____ years
- 60
 - 65
 - 68
 - 70
- 81 GRA shall hear complaints relating
- Partial or total repudiation of claims
 - Dispute regarding premium paid or payable
 - Dispute on legal construction of policies
 - Delay in settlement of claims or non-issuance of documents
 - All above
- 82 A consumer protection act was passed in the year _____ by the parliament
- 1984
 - 1985
 - 1986
 - 1987
- 83 The district forum has the powers to deal with the cases where the value of services and compensation claim does not exceed _____ lakhs
- 10
 - 20
 - 30
 - 40
- 84 The State Commission has the powers to deal with the cases where the value of services and compensation claim exceeds Rs 20 lac, but does not exceed _____ lakhs
- 10
 - 20
 - 30
 - 100
- 85 The principal bench of IAT shall be in
- New Delhi
 - Kolkata
 - Mumbai
 - Chennai
- 86 There can be 1 IAT for one or more state
- Yes
 - No.
- 87 If the party does not agree to mediation the ombudsman shall pass the award within
- 1 month
 - 2 months
 - 3 months
 - 4 months
- 88 If the party agree to mediation the ombudsman shall give his recommendation within
- 1 month
 - 2 months
 - 3 months
 - 4 months
- 89 The grievance redressal authority deals with
- Dispute between insured and insurer
 - Dispute between insurer and intermediaries
 - Dispute between insurer and insurer
 - All above
- 90 The law commission has recommended creation of
- New ombudsman scheme
 - Grievance redressal authorities
 - Grievance removal authorities
 - Grievance disposal authorities
- 91 The expenses of GRA shall be borne
- Insurance Companies
 - IRDA
 - Central Govt.
 - State Govt.
- 92 The structure of Consumer Protection Act includes
- District forum
 - State Commission
 - National Commission
 - All above
- 93 Which statement is incorrect in respect of Consumers Protection Act 1986?
- Act covers all goods and services
 - It covers all sector – public, private and cooperative
 - It covers only private sector
 - The remedy in CP Act is simple, speedy and inexpensive
- 94 GRA is the abbreviated form of
- Grievance Redressal authority
 - Grievance Reduction Authority
 - Grievance Removal authority
 - Grievance Revival Authority

95 Which claim comes under the purview of Ombudsman

- a) Any partial or total repudiation of claims by an insurer*
- b) Any dispute is regard to premium paid or payable in terms of the policy*
- c) Delay in settlement of claims*
- d) Non-issue of any insurance document to customers after receipt of premium*
- e) All above*

96 The National Commission is headed by

- a) High Court judge*
- b) Civil court judge*
- c) Supreme court judge*
- d) District judge*

97 The State Commission is headed by

- a) High Court judge*
- b) Civil court judge*
- c) Supreme court judge*
- d) District judge*

98 The District Forum is headed by

- a) High Court judge*
- b) Civil court judge*
- c) Supreme court judge*
- d) District judge*

99 IAT is the abbreviated form of

- a) Insurance Appeals Tribunal*
- b) Insurance Appellate Tribunal*
- c) Insurance Administrative Tribunal*
- d) Insurance Appellant Tribunal*

100 ADR is the abbreviated form of

- a) Alternate Dispute Resolution*
- b) Alternate Dispute Removal*
- c) Alternate Dispute Reduction*
- d) Advanced Dispute Resolution*

Answer Sheet

Question No	Your Answer	Question No	Your Answer	Question No	Your Answer	Question No	Your Answer
1		26		51		76	
2		27		52		77	
3		28		53		78	
4		29		54		79	
5		30		55		80	
6		31		56		81	
7		32		57		82	
8		33		58		83	
9		34		59		84	
10		35		60		85	
11		36		61		86	
12		37		62		87	
13		38		63		88	
14		39		64		89	
15		40		65		90	
16		41		66		91	
17		42		67		92	
18		43		68		93	
19		44		69		94	
20		45		70		95	
21		46		71		96	
22		47		72		97	
23		48		73		98	
24		49		74		99	
25		50		75		100	
Total Question Attempted:-				Total Correct Answer:-			

Answer Sheet

Question No	Your Answer	Question No	Your Answer	Question No	Your Answer	Question No	Your Answer
1		26		51		76	
2		27		52		77	
3		28		53		78	
4		29		54		79	
5		30		55		80	
6		31		56		81	
7		32		57		82	
8		33		58		83	
9		34		59		84	
10		35		60		85	
11		36		61		86	
12		37		62		87	
13		38		63		88	
14		39		64		89	
15		40		65		90	
16		41		66		91	
17		42		67		92	
18		43		68		93	
19		44		69		94	
20		45		70		95	
21		46		71		96	
22		47		72		97	
23		48		73		98	
24		49		74		99	
25		50		75		100	
Total Question Attempted:-				Total Correct Answer:-			

Answer Sheet

Question No	Your Answer	Question No	Your Answer	Question No	Your Answer	Question No	Your Answer
1		26		51		76	
2		27		52		77	
3		28		53		78	
4		29		54		79	
5		30		55		80	
6		31		56		81	
7		32		57		82	
8		33		58		83	
9		34		59		84	
10		35		60		85	
11		36		61		86	
12		37		62		87	
13		38		63		88	
14		39		64		89	
15		40		65		90	
16		41		66		91	
17		42		67		92	
18		43		68		93	
19		44		69		94	
20		45		70		95	
21		46		71		96	
22		47		72		97	
23		48		73		98	
24		49		74		99	
25		50		75		100	
Total Question Attempted:-				Total Correct Answer:-			

MOCK TEST 1 ANSWER AT A GLANCE

Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer
1	C	26	B	51	E	76	C
2	E	27	B	52	C	77	D
3	A	28	B	53	C	78	C
4	D	29	B	54	B	79	D
5	D	30	E	55	B	80	C
6	E	31	C	56	A	81	C
7	E	32	E	57	A	82	C
8	C	33	C	58	B	83	B
9	B	34	A	59	C	84	C
10	B	35	A	60	D	85	E
11	B	36	E	61	C	86	C
12	A	37	D	62	D	87	A
13	D	38	C	63	E	88	A
14	C	39	B	64	A	89	A
15	B	40	E	65	C	90	D
16	B	41	C	66	B	91	B
17	C	42	B	67	C	92	B
18	A	43	E	68	C	93	A
19	C	44	C	69	B	94	A
20	C	45	B	70	B	95	C
21	B	46	A	71	E	96	B
22	E	47	D	72	D	97	B
23	C	48	D	73	B	98	C
24	C	49	C	74	A	99	B
25	A	50	E	75	D	100	B

MOCK TEST 2 ANSWER AT A GLANCE

Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer
1	C	26	B	51	D	76	B
2	A	27	B	52	C	77	B
3	D	28	A	53	C	78	C
4	E	29	D	54	B	79	C
5	C	30	C	55	B	80	C
6	D	31	E	56	B	81	A
7	D	32	A	57	B	82	E
8	E	33	D	58	B	83	C
9	D	34	A	59	D	84	B
10	E	35	E	60	D	85	A
11	E	36	A	61	A	86	B
12	C	37	F	62	C	87	C
13	D	38	D	63	B	88	C
14	D	39	A	64	C	89	B
15	B	40	A	65	D	90	B
16	D	41	C	66	D	91	B
17	C	42	D	67	B	92	A
18	D	43	E	68	E	93	E
19	E	44	D	69	C	94	B
20	E	45	D	70	C	95	E
21	D	46	E	71	D	96	C
22	B	47	A	72	C	97	B
23	D	48	C	73	A	98	C
24	E	49	A	74	B	99	C
25	E	50	B	75	A	100	D

MOCK TEST 3 ANSWER AT A GLANCE

Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer	Question No	Correct Answer
1	B	26	C	51	B	76	C
2	E	27	D	52	E	77	C
3	D	28	B	53	D	78	C
4	D	29	D	54	D	79	A
5	B	30	A	55	D	80	C
6	C	31	B	56	E	81	E
7	B	32	E	57	C	82	C
8	C	33	B	58	A	83	B
9	B	34	B	59	D	84	D
10	A	35	A	60	A	85	A
11	C	36	C	61	C	86	A
12	D	37	B	62	C	87	C
13	C	38	A	63	C	88	A
14	E	39	C	64	D	89	D
15	B	40	D	65	C	90	B
16	E	41	E	66	B	91	C
17	B	42	D	67	E	92	D
18	B	43	E	68	B	93	C
19	E	44	D	69	B	94	A
20	B	45	E	70	A	95	E
21	A	46	B	71	B	96	C
22	D	47	A	72	C	97	A
23	B	48	B	73	D	98	D
24	A	49	A	74	D	99	B
25	C	50	B	75	B	100	A